

PG&E v TAN PROPERTY INVESTMENTS, LLC

24CV47680

PLAINTIFF'S MOTION FOR PRE-JUDGMENT POSSESSION OF PROPERTY

Pacific Gas & Electric ("PG&E") seeks to acquire by eminent domain the modification of a permanent easement utility as part of the Stanislaus-Manteca Reconductoring Project ("Project"). The location for the property is commonly known as 550 Skunk Ranch Road, Murphys, California ("Property"). Specifically, "PG&E proposes to remove and replace existing electrical transmission towers on the Property with new structures and conductor wires within two existing PG&E easements on the Property from 1907 and 1910 (Easement 1 and Easement 2, respectively), that require updating and replacement." (Complaint ¶ 6.)

PG&E now moves for an order for prejudgment possession of certain real property interests that are contained within the Property. Defendant Tan Property Investments, LLC ("Tan") opposes the motion.

I. Evidentiary Objections

The Court rules on Tan's evidentiary objections to the Declaration of Sanjeev S. Bhatawadekar and overrules all objections.

II. Legal Standard

Pursuant to Code Civil Procedure section 1255.410, subd.(a):

"At the time of filing the complaint or at any time after filing the complaint and prior to entry of judgment, the plaintiff may move the court for an order for possession under this article, demonstrating that the plaintiff is entitled to take the property by eminent domain and has deposited pursuant to Article 1 (commencing with Section 1255.010) an amount that satisfies the requirements of that article."

Where, as is the case here, the motion is opposed, the Court may make an order for possession “upon consideration of the relevant facts and any opposition, and upon completion of a hearing on the motion,” only where the Court finds each of the following:

- (A) The plaintiff is entitled to take the property by eminent domain.
- (B) The plaintiff has deposited pursuant to Article 1 (commencing with Section 1255.010) an amount that satisfies the requirements of that article.
- (C) There is an overriding need for the plaintiff to possess the property prior to the issuance of final judgment in the case, and the plaintiff will suffer a substantial hardship if the application for possession is denied or limited.
- (D) The hardship that the plaintiff will suffer if possession is denied or limited outweighs any hardship on the defendant or occupant that would be caused by the granting of the order of possession.

(Code Civ. Proc. §1255.410(d)(2)(A)-(D).)

The determination of the Plaintiff’s right to take the property by eminent domain is preliminary only and does not prejudice the defendant’s right to demur to the complaint or contest to the overtaking. Likewise, the denial of an order of possession does not require the dismissal of the proceeding and does not prejudice the plaintiff’s rights to fully litigate the matter. (Legislative Committee Comments to Code Civ. Proc., § 1255.410.)

Because Tan opposes this Motion, PG&E’s Motion is governed by Code of Civil Procedure section 1255.410, subdivision (d)(2).

III. Legal Analysis

A. PG&E has the right to take the Property by Eminent Domain

PG&E is a public utility. (Declaration of Sanjeev S. Bhatawadekar (“Bhatawadekar Decl.”) ¶ 5.) A gas and/or electrical company “may condemn any property necessary for the construction and maintenance of its electric [or gas] plant.” (Public Utility Code § § 612-613.) An electric plant is very broadly defined to include all real and personal property that is connected with or facilitates the production or transmission of electricity. (Pub. Util. Code § 217.)

Here, PG&E requires the Property in question as part of its larger planned scope of work involving the “replacement of approximately 410 existing electrical transmission structures with new steel structures, within approximately one hundred (100) circuit miles of existing electrical transmission corridors serving PG&E's residential and business customers.” (Bhatawadekar Decl. ¶ 8.) PG&E currently has two “existing and parallel electric transmission line easements owned by PG&E that currently transverse the Property and allow PG&E to operate, construct, repair and maintain these lines.” (*Id.* ¶ 9.)

Accordingly, PG&E has the statutory right to acquire the Property by eminent domain in order to construct and maintain its electric plant.

Tan does not dispute that PG&E has the right to take possession of the utility corridor. (Opp. p. 11.) Rather, Tan takes issue with the lack of clarity and information as to how much of the Property will be needed, and when and how long it will be needed, in order for PG&E to access the utility corridor. Specifically, Tan points out that there is no specific language regarding how much Property will be taken over in order to access the utility corridor within the proposed easement, and that the language in the Complaint refers broadly to accessing the easement area “over and across said lands by means of roads and lanes thereon.” (Complaint ¶ 9C.)

While the language is perhaps less than ideal in terms of ingress and egress, it is no broader than the easements currently in place which grant the utility company the “right at any time to enter upon said land for the purpose of erecting, maintaining, operating and repairing said lines...” (Declaration of Michelle Patton (“Patton Decl.”), Ex. A p. 29.) Accordingly, Defendant is within its rights to seek eminent domain of the Property and to access the Property pursuant to its easement rights of ingress and egress.

B. PG&E has made the requisite deposit

Pursuant to Code of Civil Procedure section 1255.010(a), the Plaintiff may deposit with the State Treasury the “probable amount of compensation, based on an appraisal, that will be awarded in the proceeding. The appraisal upon which the deposit is based shall be one that satisfies the requirements of subdivision (b).”

Subdivision (b) requires that, before making the deposit, the plaintiff must have a qualified expert : 1) appraise the property and 2) prepare a written statement or basis for that appraisal. The appraisal must contain sufficient detail and specific information regarding how the valuation was made and account for the Property’s best uses.

Plaintiff has provided the declaration of Michelle Patton who is a California State Certified General Real Estate Appraiser and a Member of the Appraisal Institute. (Declaration of Michelle Patton (“Patton Decl.”) ¶ 1.) Ms. Patton avers that she has investigated the Property for the purposes of “ascertaining its use, character, adaptability, quality and location” and is familiar with other property in the area and the values of those properties. (Id. ¶ 2.) After review, Ms. Patton concluded that the Fair Market Value of the Property was \$14,000.00. (Id., Ex. A “Appraisal Report”.) The Appraisal Report is thorough and detailed and contains the information required by Code Civil Procedure section 1255.010(b).

Tan takes issue with the appraiser’s valuation of the Property because it failed to take into account the potential new means of ingress and egress. However, as stated above, the currently existing easements already provide PG&E the right to enter the property for repair and maintenance purposes. Additionally, Tan provides no legal authority to suggest that the Court is expected, or even allowed, to consider the appropriateness of the amount of the deposit if all other statutory requirements are met.

C. Plaintiff has an overriding need for the prejudgment possession and will suffer hardship.

The Property is part of a large scale project to replace 410 existing electrical transmission structures within a roughly 100 mile area. (Bhatawadekar Decl. ¶ 9.) PG&E asserts that it requires prejudgment possession because the entire project depends on making sure that all the properties along the transmission corridor be “planned, coordinated and implemented (as to materials, workers, equipment, securing necessary permit(s), etc.) in an orderly fashion.” (Id. ¶ 11.) PG&E has concerns that if it is not granted prejudgment possession of the Property, it may encounter severe delays as to the whole project. (Id. ¶ 12.)

Tan argues that PG&E is only reciting the language of the statute and provides no factual basis for its assertion that it has an overriding need for possession. The Court disagrees. PG&E has provided sufficient evidence that it has a large scale project aimed at modernizing and improving its electrical transmission towers and that possession of the Property (like many others on the route) is key to ensuring the Project is permitted, staffed and completed in a timely manner.

D. Balancing Hardships

PG&E asserts that delaying possession will create a substantial hardship in its ability to start and complete the Project, which in turn will affect the public. In the opposition, Tan asserts that it will suffer hardship if the proposed order is granted because there is no way of knowing how much of the surrounding property will be affected by PG&E entering and exiting in order to work on the utility line.

In response, PG&E submits a second declaration from its Senior Consulting Project Manager, Sanjeev S. Bhatawadekar (“Bhatawadekar Decl. 2”). In this second declaration, Mr. Bhatawadekar confirms that the current easements already give PG&E rights of ingress and egress. (Bhatawadekar Decl. 2. ¶ 5.) Second, Mr. Bhatawadekar avers that most of the work is going to be done through helicopter work, thus limiting the use of the paved access road on the Property to use by light crew trucks. (Id. ¶ 5.) He further avers that there is no intention or need to disrupt the Property driveway. (*Ibid.*)

PG&E has demonstrated its right to the Property and need for immediate possession, while also showing its intention to use helicopters and limit the disruption to the Tan Property. In contrast, Tan bases most of its arguments on speculative events that might happen and no actual information or expert evidence to back up its contentions. Balancing the information before it, the Court finds that PG&E is likely to suffer greater hardships if denied prejudgment possession than Tan will if it is granted.

IV. Conclusion

Based on all the foregoing reasons, PG&E’s motion for prejudgment possession is **GRANTED**.

The Clerk shall provide notice of this Ruling to the parties forthwith. PG&E to prepare a formal Order complying with Rule of Court 3.1312 in conformity with this Ruling.

PURDY v MERRICK

24CV47781

PLAINTIFF'S MOTION FOR PARTITION

This case involves a complaint to partition real property located at 1439 Calaveritas Road, San Andreas, CA 95249 ("Property") brought by Kristie Purdy ("Purdy") and Steven Savickas ("Savickas") (collectively "Plaintiffs") against Robert Merrick ("Defendant").

Now before the Court is Plaintiffs' motion for partition of real property ("Motion").

I. Factual and Procedural Background

Pursuant to Quitclaim Deed dated August 16, 2023, Defendant transferred a one-half interest in the Property to Plaintiffs, with each plaintiff receiving their interest as sole and separate property. (Complaint ¶ 7, Ex. 1.) Accordingly, Plaintiffs and Defendant each hold an undivided one-half interest in the Property. (*Id.* ¶ 8.) Plaintiffs allege that the value of the Property is approximately \$350,000, which exceeds the encumbrance[s] on the Property after costs of sale. (*Id.* ¶ 9.)

On or about April 27, 2024, Plaintiffs and Defendant entered into an agreement ("Agreement") (Complaint ¶ 12, Ex. 2.) Pursuant to the Agreement, Defendant acknowledged that he was responsible for significant back taxes and other expenses and would repay Plaintiffs these costs from his share of the sale of the Property. (*Id.*) Plaintiffs allege that Defendant now owes them \$165,576.52, which includes items covered by the Agreement as well as additionally incurred expenses. (Complaint ¶¶ 12-13.)

The Complaint and summons was filed on December 17, 2024. It does not appear that Defendant has been served and he has not filed any appearance in Court.

II. Legal Standard and Analysis